

Morning Briefing

Friday, 18 September 2026 | Generated 06:22 BST (London) | For European pre-open

2 Important News

Bank of Japan hikes to 1.25%, highest since 1995. BoJ raised its policy rate 25bp in a split 7-2 vote (two reflationist dissenters), the fastest tightening pace of its cycle. Pressures JGB yields to multi-decade highs and drives yen volatility into the European open.

Source: CNBC. Why it matters: sets the overnight risk tone and a global central-bank tightening narrative alongside the Fed.

Oil retreats as Saudi Arabia moves to restore East-West pipeline. Brent eased toward ~\$101-105/bbl after Aramco said it would restore roughly half of the pipeline's 7m b/d capacity within days, full capacity within six weeks, following the Sept 10-11 drone-attack outage.

Source: Bloomberg, TradingEconomics. Why it matters: eases the inflation/energy-cost premium priced into European equities and rates.

RBA Governor Bullock: inflation upside risks "materialising." Testimony flagged Middle East oil prices, the AI boom and extreme weather as inflation drivers even as growth slows, reinforcing a priced hike at the Sept 28-29 RBA meeting.

Source: SBS News, InvestingLive. Why it matters: adds to the global hawkish central-bank pivot; AUD- and rates-relevant.

US 10-year Treasury yield near 5%, highest since 2007. Follow-through from the Fed's Sept 16 hike to 3.75-4.00% keeps global borrowing costs elevated into the European session.

Source: CNBC, TradingEconomics. Why it matters: key backdrop for European bank and rate-sensitive equity trading today.

Trump signals tentative Iran-war de-escalation hopes; Saudi-Houthi strikes continue. Comments Sept 17 raised cautious optimism even as fighting persists; UN Secretary-General repeated calls for Strait of Hormuz freedom of navigation.

Source: CNBC. Why it matters: geopolitical risk premium remains embedded in oil and shipping rates.

3 European Futures (Pre-Open)

Index	Level	Expected Move
Euro Stoxx 50 futures	<i>n/a</i>	<i>n/a — no reliable pre-open print found for today's session</i>
DAX futures	<i>n/a</i>	<i>n/a</i>
CAC 40 futures	<i>n/a</i>	<i>n/a</i>
FTSE 100 futures	<i>n/a</i>	<i>n/a</i>

European index futures for today's pre-open were not reliably sourced via web search (live intraday quotes are not indexed). Yesterday's Newsquawk opening call (17 Sept) described "a slightly firmer open" — provided for context only, not today's level.

US Futures (for context)

Future	Level	Change
S&P 500 E-mini	7,668.50	+45.50 (+0.60%)
Nasdaq 100 E-mini	29,460.50	+203.75 (+0.70%)
Dow futures	52,236.00	+321.00 (+0.62%)

Source: Barchart / CNBC premarket, collected ~06:00 London time, 18 Sept 2026. Driver: crude-price retreat lowering bond yields; dovish comments from NY Fed's Williams on inflation trend.

4 Yesterday's Closes — European Indices (17 Sept 2026)

Index	Close	Change
Euro Stoxx 50	6,272	+0.57%
DAX	25,538	+0.53%
CAC 40	8,141	+0.62%
FTSE 100	10,688	+0.28%

Source: Euronews, Newsquawk, Trading Economics. Collected ~06:00 London time, 18 Sept 2026, for the 17 Sept close.

5 US Markets — Yesterday's Session (17 Sept 2026)

Index	Close	Change
S&P 500	7,637.72	+1.12%
Dow Jones Industrial Average	51,779.85	+0.62%
Nasdaq Composite	26,418.30	+1.69%

Session tone: Strong rebound after Wednesday's post-Fed-hike slump. Bond yields slipped and oil eased, supporting risk appetite; dovish remarks from NY Fed President Williams (inflation "continuing to trend down") accelerated gains into the close.

Leading sectors: Technology / Nasdaq-heavy growth names led (Nasdaq Composite +1.69%, outpacing the Dow). **Lagging sectors:** n/a — granular sector breadth was not reliably sourced for this session.

Key takeaway: Markets are reading the Fed's hawkish hike as a one-and-done near-term move, with rate-sensitive growth stocks bouncing hardest once yields stabilized.

Source: Yahoo Finance, TheStreet, Bloomberg. Collected ~06:00 London time, 18 Sept 2026.

6 Asian Markets — Overnight Session (18 Sept 2026 close)

Index	Level	Change
Nikkei 225	65,332.57	+1.9%
Kospi	6,856.35	+2.1% (secondary source: +2.67%)
Hang Seng	24,766.66	+0.8% (secondary source: +0.67%)
Shanghai Composite	3,905.34	+0.8% (CSI 300 secondary ref: +1.05%)

Tone and drivers: Broadly risk-on across the region. The BoJ's 25bp hike to 1.25% (a 31-year high) was absorbed calmly rather than sold off; sentiment also lifted by the Wall Street rally overnight and easing oil prices on the Saudi pipeline-repair news. Kospi was the regional outperformer.

Sources: AP News (via clickondetroit.com/AOL syndication), cross-referenced against a secondary blended market summary; magnitudes differ slightly between sources — treat exact percentages as approximate. Collected ~06:30 London time, 18 Sept 2026.

7 Commodities

Commodity	Level	Change
Brent crude	\$101–105/bbl (range — sources conflict)	~ -2%
WTI crude	\$101.21/bbl	-0.69%
Gold (XAU/USD)	\$4,300–4,355/oz (range)	~ +1%
Natural gas — TTF (Europe)	€78.30/MWh	+0.34%
Natural gas — Henry Hub (US, for reference)	\$2.91/MMBtu	+0.79%
Copper	\$6.20–6.45/lb (near record; LME record \$14,875/tonne)	pulled back from highs

Oil's pullback is tied to Saudi Aramco restoring East-West pipeline capacity after the early-September drone-attack outage, easing the Strait of Hormuz supply-risk premium built up during the 2026 Iran conflict. European TTF gas remains structurally elevated (~4-year highs near €84/MWh touched early September) on low storage (~68% full) amid Gulf LNG disruptions. Copper sits near record highs on tight London warehouse stocks and US tariff-policy uncertainty.

Sources: TradingEconomics, Reuters (via CNBC/Investing.com citations), oilprice.com. Brent and gold show meaningful source disagreement — ranges given rather than a single fabricated figure. Collected ~06:00-07:00 London time, 18 Sept 2026.

8 Rates & FX

Instrument	Level	Change / Context
US 10-year Treasury yield	~5.0%	Near highest since July 2007
German 10-year Bund yield	~3.5%	Stabilizing near multi-month highs; exact 18 Sept tick n/a
EUR/USD	1.1538–1.1599	Weakest since mid-August
GBP/USD	1.3345–1.3355	-0.22%
DXY (Dollar Index)	99.65–99.86	Briefly topped 100 this week — first time in ~7 weeks

Both US and German long yields remain elevated after the Fed's 25bp hike to 3.75-4.00% (16 Sept) and the BoJ's hike to 1.25% (18 Sept). The dollar index sits near multi-week highs on hawkish Fed repricing, pressuring EUR/USD toward its weakest since mid-August, while GBP/USD is softer on weak UK labour data.

Sources: TradingEconomics. No single confirmed print for the German Bund yield on 18 Sept itself — figure is from 17 Sept and flagged as approximate. Collected ~06:00-07:00 London time, 18 Sept 2026.

9 DCM — Primary Bond Market

Yesterday's / this week's issuances

Issuer	Size	Maturity	Coupon / Spread	IPT-to-pricing
Publicis Groupe (corporate IG)	€500m	Sept 2030	4.125% coupon	<i>n/a</i>
RCI Banque / Mobilize Financial Services	€750m + €500m	Feb 2031 / Nov 2033	4.625% / 5.00%	<i>n/a</i>
Soitec (corporate, equity-linked)	€500m	Sept 2033	Convertible (ORNANE)	<i>n/a</i>
European Union (SSA)	€6bn + €5bn	Mar 2030 / Oct 2056	<i>n/a</i>	<i>n/a</i>
IDA / World Bank (SSA, USD)	\$3bn	Sept 2031	4.875% coupon	<i>n/a</i>
RBC (financials, covered bond)	€2.25bn + €750m	Sept 2031 / Sept 2036	3.375% / 3.750%	<i>n/a</i>

Sources: issuer press releases (GlobeNewswire, ec.europa.eu, World Bank Treasury, Investing.com) — GlobalCapital/IFR were paywalled/blocked, so IPT-to-pricing tightening could not be confirmed for any deal and is marked *n/a* rather than estimated. Deals span roughly 14–17 Sept 2026; an exact 17-Sept-only tape could not be independently isolated.

Pipeline / expected today

No specific, reliably sourced mandate for 18 Sept 2026 was found (GlobalCapital/IFR calendars are subscription-gated). General backdrop: the European Commission has ~€80bn of EU-Bond issuance targeted for H2 2026 across four syndications and six auctions; 2026 gross European government issuance is tracking near €1.4tn with a continued strong SSA/agency/corporate calendar. Issuer-specific pipeline for today: *n/a*.

Key spreads

Index	Level	Move	Direction
iTraxx Main (5Y)	~67bps (approximate)	n/a	n/a
iTraxx Crossover (5Y)	~332bps (approximate)	n/a	n/a
CDX IG	n/a	n/a	n/a
Euro corporate IG benchmark (iBoxx/ICE BofA)	n/a	n/a	n/a

Context only, not confirmed London-open marks: US IG OAS ~80bps and US HY OAS ~270bps as of 10 Sept 2026 (ICE BofA/Bloomberg), both widening over the trailing month on Fed-hike-driven risk-off. No primary index-provider timestamp was available for iTraxx/CDX levels above — treat as indicative.

Commentary

Primary issuance stayed active into midweek, with the EU's €11bn 3s/30s and a run of IG corporate prints (Publicis, RCI Banque, Soitec) clearing comfortably and with sizeable oversubscription (RCI's tranches covered roughly 2x), suggesting the new-issue window remains open heading into Friday's London open. The tone is selective rather than red-hot: reporting points to issuers paying up modestly and investors pricing books more carefully than earlier in the year amid Fed-hike-driven rate jitters. Issuance skew this week leans toward SSA/agency supply (EU, IDA) and auto/consumer-finance corporates (RCI Banque) alongside financials (RBC covered bond); no confirmed heavy-industrial or energy-sector euro benchmark was identified in this window.

10 Economic Calendar — Today

London Time	Region	Indicator / Event	Consensus	Importance
~00:30 (overnight)	Australia	RBA Gov. Bullock parliamentary testimony	<i>n/a</i>	Medium
~04:00	Japan	Bank of Japan policy rate decision	Hike to 1.25% (~63% priced)	High
~07:30	Japan	BoJ Governor Ueda press conference	<i>n/a</i>	High
07:00	UK	Retail Sales (August), ONS	<i>n/a</i>	High
~09:00	Eurozone	Balance of Payments / Current Account (July)	<i>n/a</i>	Medium
~09:00	Eurozone	ECB Consumer Expectations Survey (September)	<i>n/a</i>	Medium
All day (18-19 Sept)	EU	Eurogroup + informal ECOFIN, Dublin (Lagarde, Cipollone attending)	<i>n/a</i>	Medium/High
14:15	US	Industrial Production & Capacity Utilization (August)	<i>n/a</i>	High
15:00	US	Conference Board Leading Economic Index (August)	<i>n/a</i>	Medium

Sources: InvestingLive, GOV.UK/ONS, ECB (IEU-Monitoring), Federal Reserve G.17, CME/Econoday. Several consensus figures were not found via search and should be confirmed against a live calendar shortly before publication.

11 Corporate Events & Earnings — Today

No major US or European large/mid-cap earnings confirmed for 18 September 2026. Earnings Whispers shows the day essentially empty; Darden Restaurants (a typical mid-September reporter) is confirmed for 24 September, not today.

Ilika plc (LSE: IKA) — proxy-vote deadline (14:00 BST) ahead of its AGM on 22 September (UK, small-cap AIM).

No FTSE 100/250 AGMs, trading statements, or results specifically dated 18 September 2026 were found. Overall: a light day for corporate earnings/AGMs in both the US and Europe — the macro focus is the overnight BoJ decision and the Eurogroup/ECOFIN meetings in Dublin.

Sources: Earnings Whispers, Darden IR, Investegate.

12 Stocks to Watch

Company	Reason	Direction
Bilfinger (industrials, DE)	Severe profit warning: FY26 EBITA margin cut to 3.2-3.6% from 5.8-6.2%, up to 1,500 jobs cut; cites Middle East-driven client caution. Shares plunged ~22-24%.	Down
Raiffeisen Bank International (banks, AT)	Short-seller Grizzly Research alleges >\$1bn of Russian sanctions-evasion trade facilitation; RBI denies. Shares fell as much as 9%.	Down
Rheinmetall (aerospace & defense, DE)	Reaffirmed FY26 sales guidance +40-45% to €14-14.5bn on Middle East missile-stockpile replenishment demand; expanding into naval systems.	Up
Shell / BP (energy, UK)	Overnight Brent pullback (Saudi pipeline restoration) likely to cap recent gains after a strong run.	Mixed
DHT Holdings / Frontline / Intl. Seaways (shipping)	VLCC tanker rates hit a fresh record ~\$451,000/day (+68% w/w); Suezmax ~\$343,000/day (+94% w/w) on Red Sea/Hormuz rerouting.	Up
Freeport-McMoRan / Teck Resources (metals & mining)	Fell ~7% on reports the White House has not decided on refined copper tariffs, adding policy uncertainty after copper hit a record on the LME.	Down
American Airlines / United / Southwest / Delta (aviation)	Jet fuel near multi-year highs forcing capacity cuts (United trimming December flights; Southwest halving 2026 capacity growth).	Down — watch for oil-driven bounce
Newmont (metals & mining, gold)	Gold near \$4,300/oz, still elevated post hawkish-Fed repricing.	Up / steady
Saudi Aramco / regional energy names	East-West pipeline partial restoration reduces the supply-disruption premium.	Mixed

Sources: MarketScreener, ad-hoc-news.de, CNBC, Bloomberg, Cyprus Shipping News, GCaptain. Broker-specific upgrade/downgrade list for 18 Sept not independently confirmed.

13 Macro / Corporate / Political Highlights

Macro

- Fed hiked 25bp to 3.75-4.00% on 16 Sept — first hike in 3 years; Chair Warsh signals no cuts through 2027.
- BoJ hiked 25bp to 1.25% on 18 Sept — highest since 1995, split 7-2 vote.
- RBA priced 70-75% for a hike at its 28-29 Sept meeting after Bullock flagged inflation risks.
- US 10-year Treasury yield ~5%, a near two-decade high, tightening global financial conditions.

Corporate

- Bilfinger's profit warning and 1,500-job cost-cutting plan — a potential bellwether for European industrials into Q3 earnings.
- Raiffeisen Bank International hit by short-seller allegations over Russia sanctions evasion.
- Tanker/shipping sector rally to record freight rates continues (DHT Holdings revenue +122.7% y/y).
- European banks (Deutsche Bank, UBS) extend a multi-quarter re-rating; Euro Stoxx Banks index has doubled over two years.

Political / Geopolitical

- 2026 Iran war (ongoing ~7 months): Houthi attacks on Saudi oil infrastructure driving oil/shipping volatility all month.
- Von der Leyen's 17 Sept State of the Union urged EU "strategic autonomy" amid US tensions.
- Fed-independence tension: Warsh's hike, delivered despite White House opposition, reignited a Trump-Fed standoff narrative.
- UN General Assembly high-level week (22-29 Sept) looms, with Trump's Iran-war stance expected to dominate.

14 Key Themes — Top 5 by Horizon

Today's Top 5 (18 Sept)

1. **BoJ 25bp hike to 1.25%** — fastest tightening pace of the cycle; yen/JGB reaction sets the tone for the European open.
2. **Oil retreat on Saudi pipeline restoration** — Brent toward \$101 eases the inflation narrative, pressures energy stocks, could lift airlines.
3. **UK retail sales (August), 07:00** — first hard August UK consumer data point for FTSE/GBP direction.
4. **RBA Bullock's inflation-risk testimony** — sets up rate expectations into the 28-29 Sept RBA decision, moves AUD.
5. **Wall Street rally carryover** (S&P +1.12%, Dow +0.62%, Nasdaq +1.69%) — risk-on tone into European futures.

This Week's Top 5

1. **Fed hikes to 3.75-4.00% (16 Sept)** — first hike in 3 years; Warsh signals no cuts through 2027 amid open conflict with the White House.
2. **BoJ hikes to 1.25% (18 Sept)** — highest since 1995, marking a clear global central-bank pivot away from cuts.
3. **Bilfinger profit warning / Raiffeisen short-seller attack** — twin European corporate-credibility shocks rattling German/Austrian equities.
4. **Middle East conflict escalation** — Houthi strikes on Saudi oil infrastructure, pipeline shutdown and partial restoration, record tanker freight rates.
5. **Von der Leyen's State of the Union** — EU pushes strategic autonomy amid strained US relations, ahead of UNGA week.

This Month's Top 5 (September 2026)

1. **2026 Iran/Gulf war entering its seventh-plus month** — Strait of Hormuz disruption and oil sustained above \$100 remain the dominant macro risk factor.

2. **Synchronized global central-bank tightening** — Fed and BoJ hikes this month, plus an expected RBA hike, reverse the earlier "rate cut" narrative.
3. **US Treasury yields near two-decade highs (10Y ~5%)** — reshaping equity valuations, fueling the European bank sector's re-rating.
4. **UN General Assembly high-level week (22-29 Sept)** — Trump's Iran policy and midterm-oriented rhetoric could move oil and risk sentiment.
5. **European industrial demand slowdown signals** — Bilfinger's guidance collapse as an early Q3-earnings-season warning sign.

15 Key Trends to Watch

1 Day

- Yen/JGB reaction to the BoJ hike and press-conference guidance on further tightening pace.
- Whether Brent's overnight pullback toward \$101 holds or reverses on fresh Hormuz/Houthi headlines.
- UK retail sales (07:00) reaction in FTSE 100 and GBP.
- Read-through from Bilfinger/Raiffeisen into broader European industrials and bank sentiment.

1 Week

- UN General Assembly high-level week begins 22 Sept — Trump's Iran remarks and diplomatic signals.
- RBA policy meeting 28-29 Sept (hike priced 70-75%).
- Further parsing of Fed communications for the pace of "another rate increase later this year."
- Pace of Saudi East-West pipeline capacity restoration; any Saudi-Houthi escalation/de-escalation.

1 Month

- Trajectory of the 2026 Iran war — a possible post-US-midterm negotiation window, with risk it drags into 2028.
- Full restoration of the Saudi East-West pipeline (targeted late October).
- US midterm campaigning intensifying, with Fed-independence tension (Trump vs. Warsh) a recurring theme.
- Q3 earnings season from mid-October — watch for more European industrial/services guidance cuts.

Sources: Reuters, Bloomberg, Financial Times, CNBC, Euronews, Newsquawk, TradingEconomics, AP News, GlobalCapital, IFR (headline-level only — direct access blocked), World Bank Treasury, European Commission, GlobeNewswire, Investing.com, Yahoo Finance, TheStreet, Earnings Whispers, ONS/GOV.UK, ECB, Federal Reserve, MarketScreener, GCaptain, Cyprus Shipping News.

Data collected automatically via web search, 18 September 2026, approx. 06:00-07:00 London time. Several figures (European pre-open futures, precise iTraxx/CDX levels, some economic consensus estimates, exact IPT-to-pricing tightening) could not be reliably sourced and are marked n/a or given as approximate ranges rather than invented.

Data collected automatically. Verify before making any decision.